LandBridge LB

April 09, 2026 - 4:00pm EST
by Jumbos02

			2026	2027
Price:	64.00	EPS	2.26	2.57
Shares Out. (in M):	77	P/E	28	25
Market Cap (in $M):	4,930	P/FCF	0	0
Net Debt (in $M):	530	EBIT	0	0
TEV (in $M):	5,460	TEV/EBIT	0	0

Description

LandBridge (LB) is a royalty business whose core asset is the ownership of ~315K surface acres located on the Texas side of the TX/NM border in the heart of the Delaware Basin. Drilling oil requires infrastructure and infrastructure needs to be built on land. LandBridge has lots of well-situated land and accordingly earns fees and royalties with built-in inflation price escalators from the oil & gas industry anytime infrastructure and/or resources are situated on or cross its land. Effectively it is a beneficiary of the industrial buildout in West Texas, but unlike other oil & gas royalties, its revenus are correlated to production not the price of the commodity. With the Delaware Basin possessing superior economics relative to the rest of the US, production growth should continue to outperform the rest of the country for the foreseeable future.

The primary driver of LB's expected near-term growth is ‘produced’ water (e.g. the water that is pumped out concurrent with oil & gas). In the Delaware, for every barrel of oil produced, 3-4 barrels of briny and contaminated water also comes to the surface and needs to be handled (i.e. disposed or recycled). Historically, this water was injected back into the ground via disposal wells as close to the oil wells as possible to save costs, but the substantial growth in injected water is leading to ground pressure and regulatory challenges. Legacy disposal well capacity is declining as result and permitting new disposal wells is a major challenge, particularly in New Mexico where a lot of the new oil production in the basin is expected to come online. LB has locked up most of the southwest corner of the TX/NM border, leaving it in a uniquely good position to benefit from this regulatory arbitrage. Industry forecasts project a need of an incremental 8mn barrels per day of water disposal capacity through 2035 and management believe it is well positioned to take the lion's share. At its investor day last month, management disclosed that it thought produced water was a $300mn incremental free cash flow opportunity over the next five years (vs. 2025 EBITDA/FCF of $177mn/$122mn).

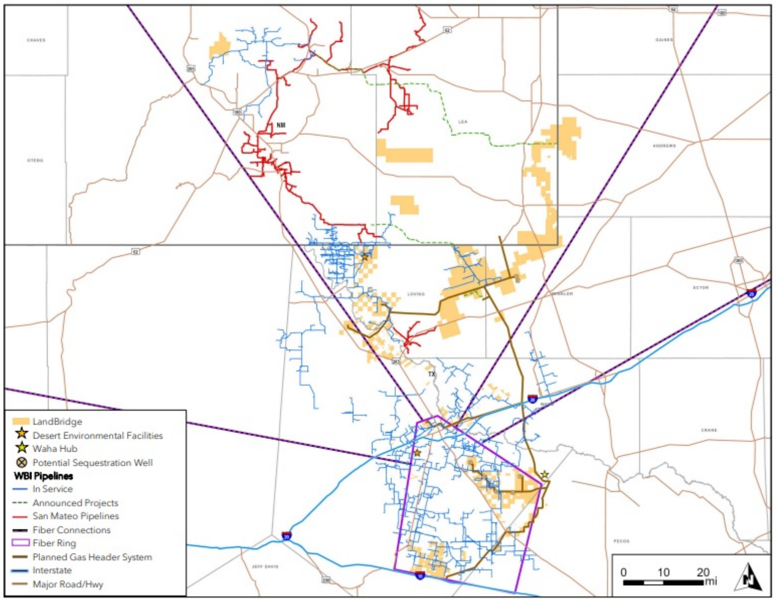
Longer-term, LandBridge stands to benefit from the broader buildout of the region. Management has taken an active approach to commercializing its land to support oil and gas development, alternative energy, and even crypto mining, and it has used M&A to strategically improve its optionality. It also benefits from a sponsor in Five Point Energy that is actively pushing the development of the region in areas like water infrastructure (aka LB's sister company WaterBridge), waste management (Desert Environmental), sustainable infrastructure (North Wind Midstream), and digital management (PowerBridge). Five Point is also supporting the development of a fiber ring and natural gas storage capabilities, both of which are important to driving AI data center construction to the Permian. The nice part of this arrangement is Five Point's funds are making the investments while LB sits and watches yet it stands to be a major beneficiary should the investments bare fruit.

Over time, LB expects surface use efficiency (i.e. revenue per acre) to increase to $2,500+ per acre by 2035, almost 4x its consolidated levels and 2x LB's legacy acreage in 2025. This translates into 15-20% organic EBITDA growth and $6-9 in FCF per share with $3-4bn ($38-52/share) of with potential cash generated between now and then (vs. a $4.9bn market cap).

Company History

Headquartered in Houston TX, LandBridge was formed in 2016 by private equity firm Five Point Energy and its portfolio company WaterBridge to acquire, manage, and expand a strategic land position in the heart of the Delaware Basin. It was initially a business unit created within WaterBridge whose purpose was to support the development of WaterBridge’s large-scale produced water handling infrastructure and encourage broader commercial development. This infrastructure is critical to oil and gas operations as it involves handling, recycling, and disposing of large volumes of water that come from oil production.

In 2021, WaterBridge officially created DBR Land Holdings LLC to split out the land business into a separate entity and LandBridge was created in 2023 to serve as the new parent company of DBR Land Holdings upon completion of its IPO. The company began trading on the NYSE in June 2024. Post-IPO the company continues to maintain a close relationship with WaterBridge, which completed its own IPO in 2025. The two companies share a management and WBI accounts for 25% of LB revenue. Funds affiliated with Five Point Energy continue to have a 78% economic ownership in LandBridge, 13% of which includes management ownership of LB.



Land Position: LB owns or manages 315K surface acres around the Delaware Basin in Texas and New Mexico. It is located across three separate acres (Stateline, Northern, and Southern Positions).

- Stateline: The Stateline Position consists of 169K surface acres in Loving, Reeves, and Winkler Counties in Texas as well as Lea County New Mexico. The Western portion of the position is checkerboarded with surface acreage held by TPL and is subject to an area of mutual interest agreement that provides reciprocal crossing rights as well as royalty and revenue sharing. The Eastern portion includes 116K surface acres that support water handling infrastructure and a brackish water supply system, in addition to containing substantial sand resources.

  Water handling companies operate ~1.9mn barrels per day (bpd) in the region with an additional 3.2mn bpd of capacity. Management also expects the region to support development of data centers, crypto mining, power gen, microgrids, power storages facilities, and commercial fueling stations.

- Northern: The Northern position includes 61K fee-owned surface acres and 33K leased surface acres in Eddy and Lea counties New Mexico and Andrews county Texas. This land supports water infrastructure development to serve oil & gas development in the northern Delaware as there is demand to transport produced water out of Lea and Eddy counties east out of the Basin.

  Water handling companies operate 158K bpd in the region with an additional 1.4mn bpd of capacity.

- Southern: The Southern position includes 87K surface acres in Reeves, Ward, and Pecos counties, Texas. Producers in the region include Crescent Energy, VTX, APA, Permian Resources, and Diamondback. The position more than doubled in December 2024 when LB acquired the Wolf Bone Ranch, a move designed to give the company access to the Waha gas market hub in addition to 300K bpd of existing produced water operations.

  Water handling companies operate 783K bpd in the region while LB continues to pursue opportunities with a broad array of customers. It recently sold a 3K acre solar energy project in Reeves county, and management expects the land position's adjacency to I-10 and I-20 corridors to provide more commercial opportunities.

LandBridge divides revenues into 3 buckets: (1) Surface Use Royalties & Revenues (~68% of sales); (2) Resource Sales & Royalties (~24% of sales); and (3) Oil & Gas Royalties (~6% of sales).

Surface Use Royalties & Revenues:

- Surface Royalties (36% of consolidated sales). Under their surface use royalty agreements (SURAs), which typically have 5-10 year initial terms, LB receives royalties based on a % of gross revenues derived from the use of their land and/or volumetric use of infrastructure installed on their land in exchange for rights of use of their land. Examples of royalties include: (1) produced water transportation and handling operations (~$0.15/barrel) and (2) skim oil royalties (15-50% of net proceeds). Notably, contracts typically include automatic annual royalty increases tied to inflation.
- Surface Revenues (31%). Under their surface use agreements (SUAs), which include easements and right of way provisions and typically have 5-10 year initial terms, LB receives a fee when the contract is executed, fixed monthly or annual payments, and often additional fees at the beginning of each renewal period. Pipeline easements range from $20-450 per rod (rod = 16.5' section of land), road easements range from $75-150/rod, utility line easements range from $20-100/rod, and well ads range from $7K-$12K/acre. Their SUAs general provide for automatic renewal-based increases in royalties tied to inflation.

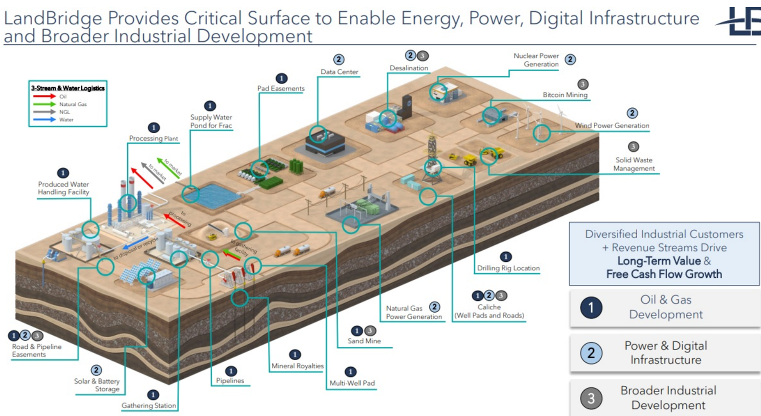
Resource Sales & Royalties

- Resource Sales (12% of consolidated sales). Resource sales generally include brackish water to be used primarily in well completions in exchange for a per barrel fee and caliche from their land to construct well pads and access roads in exchange for a fixed-fee per cubic yard. Its agreements generally have 5-10 year terms. Per barrel brackish water fees vary, ranging from $0.50-$1.10 for sales to third parties, $0.45-$0.95 for sale to oil and gas producers, and $0.25-0.35 for sale to resellers for delivery into New Mexico. Caliche prices range from $5-$10 per cubic yard. Surface use agreements typically require the purchase of resources from their land wherever possible.

- Resource Royalties (12%). LB leases its surface acreage to customers to construct and operate at their own expense sand mines to provide in-basin sand for use in oil and natural gas completions. The customers hold the exclusive right to mine sand from the leased surface acreage. The company typically receives a fee when the contract is executed and a fixed royalty per ton of sand extracted (generally $2-3/ton) as well as a fixed fee per barrel of water used to support sand mining operations ($0.50-0.65/ton).

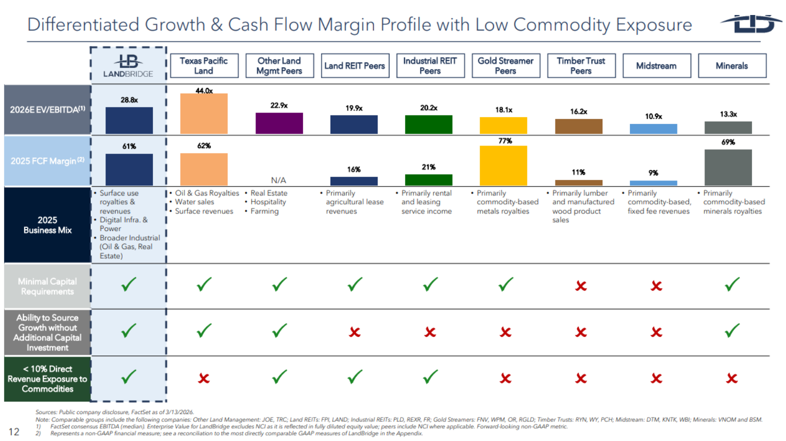
Oil and Gas Royalties (6%). Oil & gas royalties are received in connection with oil and gas mineral interests owned by LB. Oil and gas royalties are recognized as revenues as oil and gas are produced or severed from the mineral lease. The royalties received are dependent on market prices, specific producer location, and contractual terms.

Examples of Activities on LandBridge Land



Investment Highlights

1. **Attractive business model.** Royalty companies are exceptional businesses that derive their revenues directly from their core assets without any of the associated operating expenses or capital investments. They are extremely profitable businesses with nearly 100% recurring volumes that generate strong, sustainable cash flows that support capital returns and/or M&A. LandBridge's core asset is land, a finite asset that tends to appreciate over time as new use cases for the resource are created, and the company earns high margin fees and royalties anytime infrastructure and/or resources are situated on or cross through its land. And importantly, its revenue is not directly exposed to commodity price movements, a key point of differentiation vs. royalty peers.


Differentiated Growth & Cash Flow Margin Profile with Low Commodity Exposure

	LANDBRIDGE	Texas Pacific Land	Other Land Mgmt Peers	Land REIT Peers	Industrial REIT Peers	Gold Streamer Peers	Timber Trust Peers	Midstream	Minerals
2026E EV/EBITDA[1]	28.8x	44.0x	22.9x	19.9x	20.2x	18.1x	16.2x	10.9x	13.3x
2025 FCF Margin[2]	61%	62%	N/A	16%	21%	77%	11%	9%	69%
2025 Business Mix	• Surface use royalties & revenues • Digital Infra. & Power • Broader Industrial (Oil & Gas, Real Estate)	• Oil & Gas Royalties • Water sales • Surface revenues	• Real Estate • Hospitality • Farming	• Primarily agricultural lease revenues	• Primarily rental and leasing service income	• Primarily commodity-based metals royalties	• Primarily lumber and manufactured wood product sales	• Primarily commodity-based, fixed fee revenues	• Primarily commodity-based minerals royalties
Minimal Capital Requirements	✓	✓	✓	✓	✓	✓	✗	✗	✓
Ability to Source Growth without Additional Capital Investment	✓	✓	✓	✗	✗	✗	✗	✗	✓
< 10% Direct Revenue Exposure to Commodities	✓	✗	✓	✓	✓	✗	✗	✗	✗

Sources: Public company disclosure, FactSet as of 3/13/2026.
Note: Comparable groups include the following companies: Other Land Management: JOE, TRC; Land REITs: FPI, LAND; Industrial REITs: PLD, REXR, FR; Gold Streamers: FNV, WPM, OR, RGLD; Timber Trusts: RYN, WY, PCH; Midstream: DTM, KNTK, WBI; Minerals: VNOM and BSM.
1) FactSet consensus EBITDA (median). Enterprise Value for LandBridge excludes NCI as it is reflected in fully diluted equity value; peers include NCI where applicable. Forward-looking non-GAAP metric.
2) Represents a non-GAAP financial measure; see a reconciliation to the most directly comparable GAAP measures of LandBridge in the Appendix.
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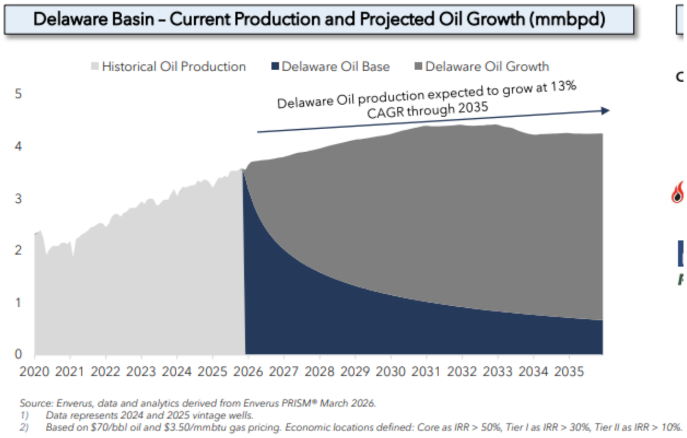
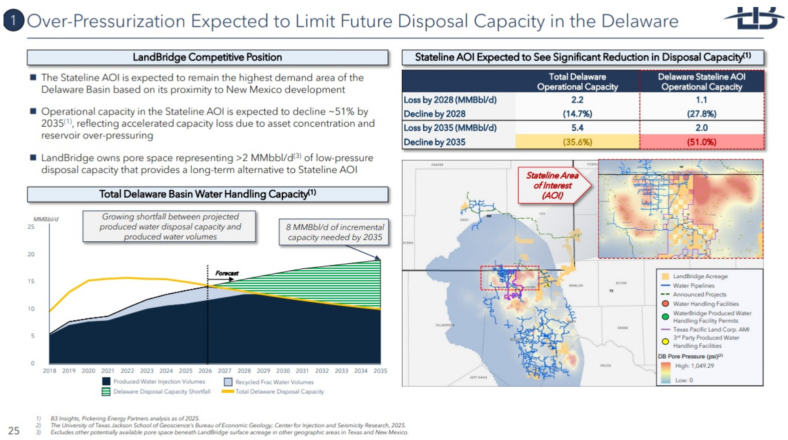
2. **Produced water growth set to grow rapidly.** The Delaware Basin remains the most active basin in the US and Enverus expects production growth of 13% annually through 2035. Notably, production is shifting to areas that have higher water-to-oil ratios, implying even faster water growth.



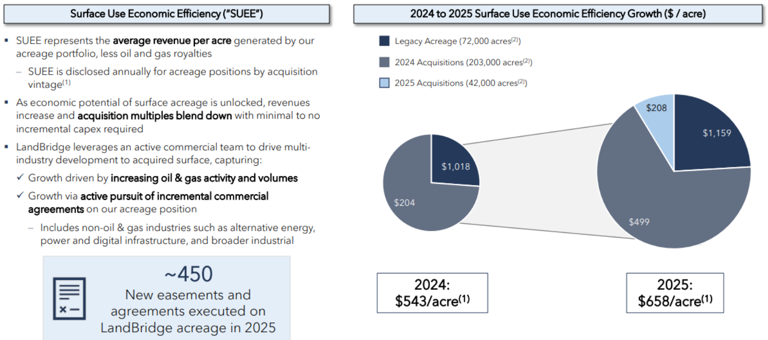
At the same time produced water is expected to increase, legacy disposal capacity is encountering challenges from over-pressurization and related seismic activity. Delaware Basin water handling capacity is expected to decline by ~50% by 2035, resulting in a shortage of 8mn bpd of capacity. At its investor day last month, LB management noted that it's ~5mn bpd of excess capacity was well positioned to capture the lion's share of incremental water growth over the next 5 years, which it expected to deliver an incremental $300mn of incremental FCF (vs 2025 FCF/Adj EBITDA of $122mn/$177mn).



3. **Active land management strategy accretive to revenue per acre.** LB actively manages the commercial development on its land, seeing to maximize the LT value of their acreage and their resources by identifying, developing, and/or supporting new uses and revenues from its land. This is different from landowners focused on agricultural or livestock operations, in addition to landowners that also own mineral rights which are generating substantial cash flows from oil & gas development. LB actively promotes its land as a location for commercial and industrial uses and can offer customers an efficient contracting process - a major difference from smaller, less professional landowners. I would argue the opening scene of Landman was the best pitch for why dealing with a professional organization for land rights might be a good option…

LandBridge also benefits from a PE sponsor that is also actively promoting the development of the region, including making bets on water management (WaterBridge), waste management (Desert Environment), sustainable infrastructure (North Wind), and Digital Infrastructure (PowerBridge). Importantly, none of these bets require LandBridge to commit capital, presenting shareholders an asymmetric bet on the buildout of the region.

Thus far, LB management has demonstrated an ability to improve surface use economic efficiency (i.e. SUEE or revenue per acre), which it believes is the best metric for measuring their success developing their acreage. Notably, SUEE has increased for each of its land positions and even its most mature acreage is well below their potential average of $2.5-3.5K per acre.



4. **Data centers a real call option.** LB's surface acreage has many opportunities to benefit from the industrialization of the Permian Basin, but the most meaningful LT opportunity is AI data centers and the associated power infrastructure. Data centers require (a) land, (b) cheap power, (c) abundant water for cooling, and (d) access to fiber. It also doesn't hurt to be located in a pro-business state like Texas. LandBridge has all of these attributes with the added benefit of not having people to fight with over electricity bills and water resources. Moreover, it has a PE sponsor that is actively investing to make the region more attractive to data centers, including standing up an AI data center development operation (PowerBridge) and announcing future investments to build out a fiber ring to improve on their existing fiber footprint alongside the I-10 and I-20 corridors, and a gas gathering header system to store the region's cheap natural gas and provide data centers the certainty they need to ensure 24/7 uptime.

   Last week, LB announced it entered into a lease development agreement with PowerBridge to develop a 2GW data center campus on LB acreage close to the Waha natural gas hub. Effectively, PowerBridge is trying to create fully developed campuses ahead of demand, replicating the strategy its CEO employed in Eastern PA when Talen subsidiary (Cumulous) build out a data center campus which AMZN ultimately bought for $650mn and now is investing billions to continue to build out the area. Currently LB has identified 5 areas that could fit 2-3 GW campuses which would generate ~$10-20mn per gigawatt, not including the water required for cooling which potentially could be as high as an additional $20mn per gigawater. Management views this as a real option that could drive meaningful free cash flow growth over the next 3 to 10 years.

   Notably, the market yawned at this announcement because it is yet another related party transaction which the market tends to heavily discount, particularly as it is does not actually have an end tenant attached to the opportunity. I agree with that view, but what is nice here is that LB is not actually putting up any capital. To the extent there are any opportunities to increase the odds of development on their lands AND they don't require any investment from LB, then that it all positive in my opinion.

At $64, shares are trading at 40x trailing free cash flow and 28x/25x my 26/27E FCF targets which embed no AI data center revenues.

At its analyst day last month, management laid out a growth scenario that suggested 15-20% adjusted EBITDA growth for the next decade was possible. This would translate into $6-9/share of FCF and $3-4bn of cumulative free cash flow generated compared to a current market cap of $4.9bn. Assuming they can get a sniff of those targets then its not hard to imagine a favorable outlook for shares in the coming years.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

-Continued produced water growth

-Data center agreement

Messages

Subject Question
Entry 04/09/2026 06:16 PM
Member preyingmantis

I like the idea but curious - if the asset is so good and mgmt has visibility on activity growth over the next few years, why did they (fivepoint + mgmt) sell roughly 500m of stock since the ipo?

Subject Re: Question
Entry 04/09/2026 07:21 PM
Member Jumbos02

To be honest, given the need to return capital to their PE investors and the substantial returns they had realized since IPO, I actually thought the fact that they had only exited ~7mn shares since the IPO and that Five Point still owns almost 49mn of shares was pretty good.

Subject Re: Re: Question
Entry 04/09/2026 09:30 PM
Member timecapsule

Thoughtful write up, Jumbos. I have enjoyed reading your work in the past as well. I also like... land.

DCs are obviously not in the headline consensus numbers but you really don't think some of this is already in the stock? We owned this at IPO but sold (too early... I can always find ways to look dumb even when making $..) when it re-rated on what I thought was the AI DC thesis getting priced in too quickly. Been scratching my head wondering what I am missing.

LB is obviously located in the core of the core and I agree the water/easement biz is excellent (FWIW, ex E&P analyst). It still seemed like a fancy multiple if DCs don't happen/drive numbers up (to me in absolute terms, but I know tpl is out there where it is). I would be curious if you have given any thought to where they could take pricing on the core if the business friendly AI DC angle doesn't actually pan out? That could be an interesting way to frame downside protection.

There are also a couple other land companies circling TTW (Double Eagle / EagleRock and another I forgot the name of off top of head). I wonder if more public Permian land cos takes the scarcity shine off a bit. At minimum it seems clear there will be more competition for M&A now that LB paved the path.

Thanks again for the write ups!

Subject Re: Re: Re: Question
Entry 04/09/2026 10:10 PM
Member Jumbos02

Appreciate the kind words!

I think in terms of downside, I tend to think it's superior location and lack of exposure to commodity price volatility differentiates it from the more garden variety royalty companies and puts it's core business more in the conversation with TPL and FNV. though I might argue the PE overhang/shared management with WBI, etc... probably calls for LB to trade at a discount to these two.

Challenging part of using TPL as a benchmark is they clearly have some data center optionality in their multiple too. FNV, though, has basically always traded no lower than a high-20s forward P/E which is kind of where we are at on LB today. So maybe a few more turn discount is a reasonable downside if AI enthusiasm wanes?

In terms of pricing, it does seem like there should be some upside but I'd be hesitant to ascribe too much since WBI is so much of their incremental growth. I'd be curious if you have much of a view there.

Re: M&A. I do think LB's existing land position and relationship with WBI can drive synergies that allow them to pay a higher price and realize comparable or better returns than other bidders. Secret is definitely out and multiples are definitely higher though - I spoke with the person who ran the Hanging H ranch when it was in receivership and the numbers he was pointing to suggested that LB bought that ranch for like 2.5-3.5 pretax cash flow...